Moody's

Fourth Quarter 2013 Earnings Call

February 7, 2014

Overview

SALLI SCHWARTZ
GLOBAL HEAD OF INVESTOR RELATIONS

Agenda

1. Fourth Quarter and Full-Year 2013 Results
Raymond McDaniel, President and Chief Executive Officer

2. Financial and Operating Highlights
Linda Huber, Executive Vice President and Chief Financial Officer

3. 2014 Outlook
Raymond McDaniel, President and Chief Executive Officer

4. Q&A
Raymond McDaniel, President and Chief Executive Officer
Linda Huber, Executive Vice President and Chief Financial Officer
Michel Madelain, President and Chief Operating Officer, Moody's Investors Service
Mark Almeida, President, Moody's Analytics

Disclaimer

Certain statements contained in this presentation are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. Moody's outlook for 2014 and other forward-looking statements in this presentation are made as of February 7, 2014, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, the current world-wide credit market disruptions and economic slowdown, which is affecting and could continue to affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including credit quality concerns, changes in interest rates and other volatility in the financial markets; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government initiatives to respond to the economic slowdown; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Dodd-Frank Wall Street Reform and Consumer Protection Act and anticipated regulations resulting from the law; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation to which the Company may be subject from time to time; provisions in the Dodd-Frank Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; the outcome of those legacy tax matters and legal contingencies that relate to the Company, its predecessors and their affiliated companies for which Moody's has assumed portions of the financial responsibility; the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; a decline in the demand for credit risk management tools by financial institutions; and other risk factors as discussed in the Company's annual report on Form 10-K for the year ended December 31, 2012 and in other filings made by the Company from time to time with the Securities and Exchange Commission.

1. Fourth Quarter and Full-Year 2013 Results

RAYMOND MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

Fourth Quarter 2013 Results and Comparison to Fourth Quarter 2012

Moody's Corporation

» Revenue	↑ 3% to $779 million
» Expenses	↓ 5% to $467 million
» Operating Income	↑ 20% to $312 million
» Adjusted Operating Income	↑ 13% to $335 million
» GAAP EPS	↑ 34% to $0.94
» Non-GAAP EPS	↑ 21% to $0.85

Full-Year 2013 Performance and Comparison to Full-Year 2012

Moody's Corporation

- Revenue — ↑ 9% to $3.0 billion
  - MIS — ↑ 9% to $2.1 billion
  - MA — ↑ 9% to $913 million
- Expenses — ↑ 5% to $1.7 billion
  (includes 1Q13 litigation settlement charge)
- Operating Income — ↑ 15% to $1.2 billion
  (includes 1Q13 litigation settlement charge)
- Adjusted Operated Income — ↑ 12% to $1.3 billion
  (includes 1Q13 litigation settlement charge)
- GAAP EPS — ↑ 18% to $3.60
  (includes1Q13 litigation settlement charge)
- Non-GAAP EPS — ↑ 22% to $3.65
  (excludes1Q13 litigation settlement charge and legacy tax benefits in 3Q12 and 4Q13)

2. Financial and Operating Highlights

LINDA HUBER
EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

Fourth Quarter 2013 Results and Comparison to Fourth Quarter 2012

Moody's Corporation Revenue

» Total Global	↑ 3% at $779 million
» U.S.	↑ 3% to $417 million
» Non-U.S.	↑ 3% to $362 million • 46% of Total Global
» Recurring Revenue	↑ 11% to $390 million • 50% of Total Global

Fourth Quarter 2013 Results and Comparison to Fourth Quarter 2012

MIS Revenue by Geography

» Total MIS	↑ 1% to $523 million
» U.S.	↓ 2% to $300 million
» Non-U.S.	↑ 5% to $223 million • 43% of Total MIS

Fourth Quarter 2013 Results and Comparison to Fourth Quarter 2012

MIS Revenue by Line of Business

- Corporate Finance: $243 million
  - Global ↓ 1%
  - U.S. ↓ 9%
  - Non-U.S. ↑ 15%

- Structured Finance: $109 million
  - Global ↑ 6%
  - U.S. ↑ 15%
  - Non-U.S. ↓ 8%

Fourth Quarter 2013 Results and Comparison to Fourth Quarter 2012

MIS Revenue by Line of Business

- Financial Institutions: $89 million
  - Global ↑ 3%
  - U.S. ↑ 6%
  - Non-U.S. ↑ 1%

- Public, Project & Infrastructure Finance: $83 million
  - Global ↓ 3%
  - U.S. ↓ 6%
  - Non-U.S. ↑ 1%

Fourth Quarter 2013 Results and Comparison to Fourth Quarter 2012

MA Revenue by Geography

- Total MA — ↑ 9% to $256 million
- U.S. — ↑ 21% to $117 million
- Non-U.S. — ↑ 1% to $140 million
  - 54% of Total MA

Fourth Quarter 2013 Results and Comparison to Fourth Quarter 2012

MA Revenue by Line of Business

- RD&A: $138 million
  - Global ↑ 9%
  - U.S. ↑ 8%
  - Non-U.S. ↑ 10%
  - 54% of total MA revenue
  - Customer retention rate in the mid-90's percent range
- ERS: $85 million
  - Global ↑ 7%
  - U.S. ↑ 48%
  - Non-U.S. ↓ 10%
  - TTM Sales ↑ 14%
  - TTM Revenue ↑ 8%

Fourth Quarter 2013 Results and Comparison to Fourth Quarter 2012

MA Revenue by Line of Business

- Professional Services: $33 million
  (includes acquisition of Amba in December 2013)
  - Global ↑ 16%
  - U.S. ↑ 54%
  - Non-U.S. ↑ 6%

Fourth Quarter 2013 Results and Comparison to Fourth Quarter 2012

Moody's Corporation

» Total Expenses	↓ 5% to $467 million
» Operating Margin	• 40.0% – up 550 basis points from 34.5% in 4Q12
» Adjusted Operating Margin	• 43.0% – up 370 basis points from 39.3% in 4Q12
» Effective Tax Rate	• 30.6% – down from 31.5% in 4Q12

Capital Allocation

- Increased quarterly dividend on December 17, 2013 by 12% to $0.28 per share of common stock.
- During 4Q13, repurchased 2.0 million shares at a total cost of $146 million and issued 0.9 million shares under employee stock-based compensation plans
- For full-year 2013, repurchased 14 million shares at a total cost of $893 million, or an average of $62.90 per share, and issued 5.5 million shares under employee stock-based compensation plans
- Shares outstanding totaled 214.0 million as of December 31, 2013
  - 4% decline from December 31, 2012
- $784 million of share repurchase authority remaining as of December 31, 2013

Balance Sheet and Free Cash Flow

» At December 31, 2013, Moody's had:

- $2.1 billion of outstanding debt
- $1.0 billion of additional debt capacity under revolving credit facility
- Cash, cash equivalents and short-term investments of $2.1 billion
- 59% of total cash holding were maintained outside the U.S.

» Full-year 2013 free cash flow was $885 million, up 14% from a year ago

3. 2014 Outlook

RAYMOND MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

MCO 2014 Full-Year Financial Outlook

» Revenue	↑ high-single-digit % range
» Expenses	↑ mid-single-digit % range
» Operating Margin	• Between 42% and 43%
» Adjusted Operating Margin	• Between 45% and 46%
» Effective Tax Rate	• Approximately 33%
» EPS	• $3.90 to $4.00

Refer to "Moody's Corporation Reports Results for Fourth Quarter and Full-Year 2013" press release for a full review of guidance

MCO 2014 Full-Year Financial Outlook (continued)

» Share Repurchase	• Approximately $1 billion (subject to available cash, market conditions and other ongoing capital allocation decisions)
» Capital Expenditures	• Approximately $90 million
» Depreciation and Amortization	• Approximately $100 million
» Growth in Compliance and Regulatory Expense	• Less than $5 million
» Free Cash Flow	• Approximately $900 million

Refer to "Moody's Corporation Reports Results for Fourth Quarter and Full-Year 2013" press release for a full review of guidance

MIS 2014 Full-Year Financial Outlook

» Global	↑ mid-single-digit % range
» U.S.	↑ low-single-digit % range
» Non-U.S.	↑ low-double-digit % range
» Corporate Finance	↑ high-single-digit % range
» Public, Project & Infrastructure	↑ high-single-digit % range
» Structured Finance	↑ low-single-digit % range
» Financial Institutions	↑ mid-single-digit % range

Refer to "Moody's Corporation Reports Results for Fourth Quarter and Full-Year 2013" press release for a full review of guidance

MA 2014 Full-Year Financial Outlook

» Global	↑ low-teens % range ↑ high-single-digit % range organically
» U.S.	↑ high-single-digit % range
» Non-U.S.	↑ high-teens % range
» Research, Data & Analytics	↑ high-single-digit % range
» Enterprise Risk Solutions	↑ low-teens % range
» Professional Services	↑ mid-40’s % range ↑ low-double-digit % range organically

Refer to “Moody’s Corporation Reports Results for Fourth Quarter and Full-Year 2013” press release for a full review of guidance

4. Q&A Session

» Raymond McDaniel

President and Chief Executive Officer, Moody's Corporation

» Linda Huber

Executive Vice President and Chief Financial Officer, Moody's Corporation

» Michel Madelain

President and Chief Operating Officer, Moody's Investors Service

» Mark Almeida

President, Moody's Analytics

Investor Day 2014

Moody's

Save the Date

Moody's Investor Day 2014

Tuesday, September 30, 2014

Moody's Corporation is holding its annual Investor Day. Located at 7 World Trade Center in New York, this event will feature presentations from our management team and showcase important aspects of our business.

Additional details to follow.

Replay Details

» Available from 3:30pm (Eastern Time) February 7, 2014 until 3:30pm (Eastern Time) March 8, 2014

» Telephone Details:

– U.S. 1-888-203-1112

– Non-U.S. +1-719-457-0820

– Passcode 2195812

» Webcast Details:

– Go to http://ir.moodys.com

– Click on "Events & Presentations" featured on the left

– Click on the link for "4Q 2013 Earnings Conference Call"

Appendix

Consolidated Statements of Operations (Unaudited)

Amounts in millions, except per share amounts	Three Months Ended December 31, 2013	Three Months Ended December 31, 2012	Year Ended December 31, 2013	Year Ended December 31, 2012
Revenue	$ 779.2	$ 754.2	$ 2,972.5	$ 2,730.3
Expenses:				
Operating	221.0	221.6	822.4	795.0
Selling, general and administrative	223.0	236.4	822.1	752.2
Goodwill impairment charge	-	12.2	-	12.2
Depreciation and amortization	23.3	23.8	93.4	93.5
Total expenses	**467.3**	**494.0**	**1,737.9**	**1,652.9**
Operating income	**311.9**	**260.2**	**1,234.6**	**1,077.4**
Non-operating (expense) income, net				
Interest (expense) income, net	(23.7)	(21.6)	(91.8)	(63.8)
Other non-operating (expense) income, net	13.6	(2.2)	26.5	10.4
Total non-operating (expense) income, net	(10.1)	(23.8)	(65.3)	(53.4)
Income before provision for income taxes	**301.8**	**236.4**	**1,169.3**	**1,024.0**
Provision for income taxes	92.2	74.4	353.4	324.3
Net income	209.6	162.0	815.9	699.7
Less: net income attributable to noncontrolling interests	2.9	1.9	11.4	9.7
Net income attributable to Moody's Corporation	**$ 206.7**	**$ 160.1**	**$ 804.5**	**$ 690.0**

Earnings per share attributable to Moody's common shareholders				
Basic	$ 0.96	$ 0.72	$ 3.67	$ 3.09
Diluted	$ 0.94	$ 0.70	$ 3.60	$ 3.05
Weighted average number of shares outstanding				
Basic	214.3	223.0	219.4	223.2
Diluted	219.0	227.3	223.5	226.6

Supplemental Revenue Information
(Unaudited)

Amounts in millions	Three Months Ended December 31, 2013	Three Months Ended December 31, 2012	Year Ended December 31, 2013	Year Ended December 31, 2012
Moody's Investors Service				
Corporate Finance	$ 242.6	$ 244.9	$ 996.8	$ 857.6
Structured Finance	108.8	102.9	382.5	381.0
Financial Institutions	88.9	86.2	338.8	325.5
Public, Project and Infrastructure Finance	82.5	85.4	341.3	322.7
Intersegment royalty	21.1	19.1	78.6	71.5
Sub-total MIS	543.9	538.5	2,138.0	1,958.3
Eliminations	(21.1)	(19.1)	(78.6)	(71.5)
Total MIS revenue	522.8	519.4	2,059.4	1,886.8
Moody's Analytics				
Research, Data and Analytics	138.4	127.3	532.0	493.2
Enterprise Risk Solutions	84.9	79.0	262.5	242.6
Professional Services	33.1	28.5	118.6	107.7
Intersegment revenue	3.1	2.8	11.6	11.8
Sub-total MA	259.5	237.6	924.7	855.3
Eliminations	(3.1)	(2.8)	(11.6)	(11.8)
Total MA revenue	256.4	234.8	913.1	843.5
Total Moody's Corporation revenue	**$ 779.2**	**$ 754.2**	**$ 2,972.5**	**$ 2,730.3**
Moody's Corporation revenue by geographic area				
United States	$ 417.2	$ 403.3	$ 1,626.5	$ 1,472.4
International	362.0	350.9	1,346.0	1,257.9
	$ 779.2	**$ 754.2**	**$ 2,972.5**	**$ 2,730.3**

Non-Operating (Expense) Income, Net

Amounts in millions	Three Months Ended December 31, 2013	Three Months Ended December 31, 2012	Year Ended December 31, 2013	Year Ended December 31, 2012
Interest (expense) / income, net:				
Expense on borrowings	**$ (26.9)**	$ (21.7)	**$ (92.3)**	$ (73.8)
Income	**1.5**	1.5	**5.5**	5.2
Legacy Tax, UTPs and other tax related liabilities [a]	**1.7**	(1.4)	**(5.0)**	4.8
Capitalized	**-**	-	**-**	-
Total interest (expense) income, net	**$ (23.7)**	$ (21.6)	**$ (91.8)**	$ (63.8)
Other non-operating (expense) income, net:				
FX gain/(loss)	**$ (6.9)**	$ 0.1	**$ -**	$ (5.9)
Legacy Tax [b]	**19.2**	-	**19.2**	12.8
Joint venture income (loss)	**1.4**	(2.1)	**8.8**	4.8
Other	**(0.1)**	(0.2)	**(1.5)**	(1.3)
Other non-operating (expense) income, net	**13.6**	(2.2)	**26.5**	10.4
Total non-operating (expense) income, net	**$ (10.1)**	$ (23.8)	**$ (65.3)**	$ (53.4)

(a) The three-months ended December 31, 2013 as well as the years ended December 31, 2013 and 2012 all contain approximately $4 million in benefits from Legacy Tax Matters. Additionally, the amount for the year ended December 31, 2012 contains a benefit of approximately $7 million related to the settlement of state and local income tax audits

(b) The amounts represent favorable resolutions of Legacy Tax Matters

Selected Consolidated Balance Sheet Data (Unaudited)

Amounts in millions	December 31, 2013	December 31, 2012
Cash and cash equivalents	$ 1,894.5	$ 1,755.4
Short-term investments	211.8	17.9
Total current assets	2,968.8	2,525.7
Non-current assets	1,425.8	1,435.2
Total assets	4,394.6	3,960.9
Total current liabilities	1,141.3	1,164.9
Total debt [1]	2,101.8	1,671.2
Other long-term liabilities	723.6	719.7
Total shareholders' equity	347.9	396.6
Redeemable noncontrolling interest*	80.0	72.3
Total liabilities, redeemable noncontrolling interest and shareholders' equity	4,394.6	3,960.9
Actual number of shares outstanding	214.0	223.3

* Represents a noncontrolling interest related to the November 2011 acquisition of Copal Partners

[1] Total debt consists of the following:	December 31, 2013	December 31, 2012
Series 2005-1 Notes due 2015[a]	$ 310.3	$ 313.8
Series 2007-1 Notes due 2017	300.0	300.0
2008 Term Loan due 2013[b]	-	63.8
2010 Senior Notes due 2020[c]	497.8	497.4
2012 Senior Notes due 2022[d]	496.5	496.2
2013 Senior Notes due 2024[e]	497.2	-
Total debt [f]	$ 2,101.8	$ 1,671.2

[a] Includes a $10.3 million and $13.8 million fair value adjustment on an interest rate hedge at December 31, 2013 and 2012, respectively

[b] Final payments made in Q2 2013

[c] Represents $500 million of 5.5% publicly traded Senior Notes which mature on September 1, 2020; the notes were offered to the public at 99.374% of the face amount

[d] Represents $500 million of 4.5% publicly traded Senior Notes which mature on September 1, 2022; the notes were offered to the public at 99.218% of the face amount

[e] Represents $500 million of 4.9% publicly traded Senior Notes which mature on February 15, 2024; the notes were offered to the public at 99.431% of the face amount

[f] Of the total debt shown in the table above, $63.8 million is classified within total current liabilities at December 31, 2012, and consists of borrowings under the 2008 Term Loan.

Financial Information by Segment

The table below presents revenue, adjusted operating income and operating income by reportable segment. The Company defines adjusted operating income as operating income excluding depreciation and amortization and a goodwill impairment charge.

	Three Months Ended December 31,							
	2013				2012			
	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	$ 543.9	$ 259.5	$ (24.2)	$ 779.2	$ 538.5	$ 237.6	$ (21.9)	$ 754.2
Operating, selling, general and administrative	266.5	201.7	(24.2)	444.0	283.1	196.8	(21.9)	458.0
Adjusted operating income	277.4	57.8	-	335.2	255.4	40.8	-	296.2
Depreciation and amortization	11.7	11.6	-	23.3	11.2	12.6	-	23.8
Goodwill impairment charge	-	-	-	-	-	12.2	-	12.2
Operating income	$ 265.7	$ 46.2	$ -	$ 311.9	$ 244.2	$ 16.0	$ -	$ 260.2
Adjusted operating margin	51.0%	22.3%		43.0%	47.4%	17.2%		39.3%
Operating margin	48.9%	17.8%		40.0%	45.3%	6.7%		34.5%

Financial Information by Segment (continued)

	Year Ended December 31,							
	2013				2012			
	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	$ 2,138.0	$ 924.7	$ (90.2)	$ 2,972.5	$ 1,958.3	$ 855.3	$ (83.3)	$ 2,730.3
Operating, selling, general and administrative	1,022.6	712.1	(90.2)	1,644.5	967.6	662.9	(83.3)	1,547.2
Adjusted operating income	1,115.4	212.6	-	1,328.0	990.7	192.4	-	1,183.1
Depreciation and amortization	46.6	46.8	-	93.4	44.2	49.3	-	93.5
Goodwill impairment charge	-	-	-	-	-	12.2	-	12.2
Operating income	$ 1,068.8	$ 165.8	$ -	$ 1,234.6	$ 946.5	$ 130.9	$ -	$ 1,077.4
Adjusted operating margin	52.2%	23.0%		44.7%	50.6%	22.5%		43.3%
Operating margin	50.0%	17.9%		41.5%	48.3%	15.3%		39.5%

Transaction and Relationship Revenue

	Three Months Ended December 31,					
	2013			2012		
	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	69%	31%	100%	76%	24%	100%
Structured Finance	66%	34%	100%	62%	38%	100%
Financial Institutions	36%	64%	100%	40%	60%	100%
Public, Project and Infrastructure Finance	57%	43%	100%	62%	38%	100%
Total MIS	**61%**	**39%**	**100%**	65%	35%	100%
Moody's Analytics	**27%**	**73%**	**100%**	28%	72%	100%
Total Moody's Corporation	**50%**	**50%**	**100%**	54%	46%	100%

	Year Ended December 31,					
	2013			2012		
	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	73%	27%	100%	74%	26%	100%
Structured Finance	60%	40%	100%	58%	42%	100%
Financial Institutions	35%	65%	100%	37%	63%	100%
Public, Project and Infrastructure Finance	60%	40%	100%	61%	39%	100%
Total MIS	**62%**	**38%**	**100%**	62%	38%	100%
Moody's Analytics	**22%**	**78%**	**100%**	23%	77%	100%
Total Moody's Corporation	**50%**	**50%**	**100%**	50%	50%	100%

Refer to “Moody’s Corporation Reports Results for Fourth Quarter and Full-Year 2013” press release for table details

Non-GAAP Financial Measures

	Three Months Ended December 31,			
	2013		2012	
Diluted EPS - GAAP	$	0.94	$	0.70
Legacy Tax	$	(0.09)	$	-
Diluted EPS - Non-GAAP	$	0.85	$	0.70

	Year Ended December 31,			
	2013		2012	
Diluted EPS - GAAP	$	3.60	$	3.05
Legacy Tax	$	(0.09)	$	(0.06)
Impact of litigation settlement	$	0.14	$	-
Diluted EPS - Non-GAAP	$	3.65	$	2.99

Refer to “Moody’s Corporation Reports Results for Fourth Quarter and Full-Year 2013” press release for table details

Adjusted Operating Income and Adjusted Operating Margin

	Three Months Ended December 31,				Year Ended December 31,			
	2013		2012		2013		2012	
Operating income	**$**	**311.9**	$	260.2	**$**	**1,234.6**	$	1,077.4
Depreciation & amortization		**23.3**		23.8		**93.4**		93.5
Goodwill impairment charge		-		12.2		-		12.2
Adjusted operating income	**$**	**335.2**	$	296.2	**$**	**1,328.0**	$	1,183.1
Operating margin		**40.0%**		34.5%		**41.5%**		39.5%
Adjusted operating margin		**43.0%**		39.3%		**44.7%**		43.3%

	Full-Year Ended December 31, 2014
Operating Margin Guidance	42% - 43%
Depreciation and amortization	3%
Adjusted Operating Margin Guidance	**45% - 46%**

Refer to "Moody's Corporation Reports Results for Fourth Quarter and Full-Year 2013" press release for table details

Free Cash Flow

	Year Ended December 31,	
	2013	2012
Net cash flows from operating activities	**$ 926.8**	$ 823.1
Capital additions	**(42.3)**	(45.0)
Free cash flow	**$ 884.5**	$ 778.1
Net cash used in investing activities	**$ (286.9)**	$ (50.2)
Net cash provided by (used in) financing activities	**$ (498.8)**	$ 202.6

	Full-Year Ended December 31, 2014
Net cash flow from operating activities guidance	$ 990.0
Capital additions guidance	(90.0)
Free cash flow guidance	**$ 900.0**

Refer to "Moody's Corporation Reports Results for Fourth Quarter and Full-Year 2013" press release for table details

Moody's

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